

June 17, 2026 11:53 AM GMT

China Financials | Asia Pacific

Lujiazui Forum: Opening up, high-quality growth, risk control, and proper regulation remain key focus areas

Key Takeaways

- Vice Premier He again stressed risk control, proper regulation, and high-quality growth are the main development paths for China's financial services industry
- At the same time, he also highlighted the continued further opening up of China's financial industry. PBOC Governor Pan and SAFE have echoed this thought.
- Both the PBOC and SAFE highlighted more detailed policies to support furthering opening up – e.g., new QDII quotas, simplified ODI, external debt FX management...
- ...and Shanghai-based pilots for trade FX settlement, which will support RMB globalization and broadening rather than containing cross-border capital flows
- Both the NAFR and CSRC stressed strict financial regulations and risk containment. Ther PBOC reiterated slower but higher-quality loan growth as a new norm.

Besides further opening up, we think the 2026 Lujiazui Forum also delivered a clear regulatory signal for China's financial industry:

- **Banks – continued risk prevention and rational credit growth:** The PBOC indicated that slower but higher-quality loan growth may become the new norm, in line with our view of rational credit growth. It also mentioned setting up a liquidity support facility for non-bank FIs to prevent systemic risks.
- **Insurers – strict supervision, with continued expense control:** The NAFR continued to mention rectifying disorderly competition and firmly enforcing strict expense rules, which should benefit P&C insurers' CoR.
- **Capital markets – more flexible but also disciplined IPO mechanism:** The CSRC is modifying listing rules and will accelerate the launch of shelf registration mechanisms to facilitate more flexible IPOs. It will also launch active ETFs and a pilot for commercial property REITs.

We believe the increased focus on financial opening up will reduce recent concerns about tightening of cross-border capital flows. The continued focus on risk control and high-quality growth will continue to benefit financial firms in the long term.

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Industry View

Attractive

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Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$20.62
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb19.10
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$17.33
CITIC Securities Co. (6030.HK)	E (10/29/2024)	HK\$27.72
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb27.37
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb19.04
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$96.01
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.92
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.70
GF Securities (000776.SZ)	E (08/07/2025)	Rmb21.42
GF Securities (1776.HK)	E (01/06/2023)	HK\$17.50
HTSC (601688.SS)	E (09/23/2024)	Rmb20.40

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Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.53
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.83
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$5.33
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.14
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb19.23
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb5.94
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.32
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.43
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb6.90
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb16.00
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb31.44
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb7.56
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.50
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.71
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.13
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.34
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.15
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb38.23
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$48.42
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.56
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.50
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.40
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.82
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$7.04
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.36
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb17.84
Lufax (LU.N)		US\$1.36
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb10.78
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$5.04
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$15.07
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.24

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.